

Calendar Lines 1 – 4

Case Name: Alorica Inc. v. Fortinet, Inc.
Case No.: 19CV344971

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on June 11, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This action arose from a dispute between plaintiff Alorica, Inc. (“Alorica”) and Fortinet, Inc. (“Fortinet”) regarding Alorica’s purchase of secure network equipment and services. Alorica filed its complaint against Alorica in March 2019, alleging that the Fortinet technology that Alorica purchased did not perform as promised. In its operative Second Amended Complaint, Alorica asserted causes of action for: (1) breach of warranty; (2) negligent misrepresentation; and (3) intentional misrepresentation.

Fortinet filed a cross-complaint against Alorica in May 2019. Fortinet then filed its operative First Amended Cross-Complaint in June 2019, asserting causes of action for: (1) breach of contract; (2) fraud/intentional misrepresentation; (3) negligent misrepresentation; (4) defamation; (5) interference with prospective economic relations; (6) unfair competition; and (7) declaratory judgment. Fortinet later dismissed its causes of action for defamation, interference with prospective economic relations, and unfair competition. The court sustained with leave to amend Alorica’s demurrer to Fortinet’s breach of contract cross-claim, and Fortinet did not amend. The court granted Alorica’s motion for summary judgment as to Fortinet’s second and third causes of action for misrepresentation.

A jury trial began in September 2024 on Alorica’s breach of warranty and misrepresentation causes action. At the close of evidence, the court granted a partial directed verdict in Fortinet’s favor as to Alorica’s claims for punitive damages and for \$140 million in compensatory damages for its financing costs. After multiple days of deliberating, the jury found against Alorica and for Fortinet on all three causes of action, awarding Alorica \$0 in damages. The court denied Alorica’s motion for a new trial.

Now before the court are the following, each of which is opposed:

- (1) Fortinet's Motion to Amend its Memorandum of Costs;
- (2) Alorica's Motion to Tax Costs and Strike Fortinet's Memorandum of Costs;
- (3) Fortinet's Motion to Strike or Tax Alorica's Memorandum of Costs; and
- (4) Fortinet's Motion for Attorneys' Fees.

II. Fortinet's Motion to Amend its Memorandum of Costs

Fortinet filed a memorandum of costs on December 2, 2024. Fortinet now seeks leave to amend its memorandum of costs to account for costs it asserts were inadvertently omitted from its initial memorandum. Alorica opposes Fortinet's request to amend.

A. Legal Standard

A party claiming costs as the prevailing party must timely file a memorandum of costs:

A prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first. The memorandum of costs must be verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case.

(California Rules of Court, rule 3.1700, subdivision (a)(1).) A party that fails to file and serve their memorandum of costs within the time prescribed is deemed to have waived any costs accruing in their favor. (*Davis Lumber Co. v. Hubbell* (1955) 137 Cal.App.2d 148, 150.)

Because the time limitation for filing a request for costs is not jurisdictional in character, a trial court has broad discretion to allow relief from a late filing where there is absence of a showing of prejudice to the opposing party. (*Hoover Cmty. Hotel Dev. Corp. v. Thomson* (1985) 168 Cal.App.3d 485, 487-488.)

A trial court generally has discretion to permit the amendment of pleadings or proceedings, and California courts recognize a strong policy in favor of permitting such

amendments. (See *Burkle v. Burkle* (2006) 141 Cal.App.4th 1029, 1042 (*Burkle*).) Code of Civil Procedure section 473, subdivision (a)(1), provides:

The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code.

Code of Civil Procedure section 473, “specifically states that for amendments other than correcting mistakes in the pleading, the court *may* permit the amendment after giving notice to the adverse party.” (*Kerkeles v. City of San Jose* (2011) 199 Cal.App.4th 1001, 1018 (*Kerkeles*) [review den. *Kerkeles (Michael) v. City of San Jose*, 2011 Cal. LEXIS 13038 (Cal., Dec. 21, 2011)]).) There is a “strong policy in favor of liberal allowance of amendments.” (*Ibid.*, quoting *Burkle, supra*, 141 Cal.App.4th at p. 1042; see also *Fogel v. Farmers Group, Inc.* (2008) 160 Cal.App.4th 1403, 1423 (*Fogel*) [denial of amendment is abuse of discretion when opposing party is not misled or prejudiced].)

B. Discussion

Fortinet asserts that, when it filed its initial memorandum of costs on December 2, 2024, it inadvertently omitted \$485,173.00 in costs incurred for hosting electronic documents (i.e., item 14 on Judicial Council form MC-010, “Memorandum of Costs (Summary)”). (See Declaration of Erin E. Meyer in Support of Motion to Amend Fortinet, Inc.’s Memorandum of Costs, ¶ 3.) The amended memorandum of costs subsequently filed by Fortinet includes this omitted category of costs, and the proposed amendments are limited to account for costs incurred for hosting electronic documents. (*Id.* at ¶¶ 4-5.)

Fortinet contends that Alorica is not prejudiced by the proposed amendment and that the court has discretion to allow the amendment to correct the purportedly inadvertent omission. (See Memorandum of Points and Authorities in Support of Fortinet’s Motion to Amend its Memorandum of Costs, p. 2:6-17.) Fortinet asserts that California courts have exercised discretion to grant relief in the context of errors that would otherwise result in the

waiver of the right to claim costs. (*Ibid.*, relying upon *Pacific Southwest Airlines v. Dowty-Rotol* (1983) 144 Cal.App.3d 491, 491 (*Pac. Southwest Airlines*) [“the trial court had discretion to permit the filing of supplemental verification”].)

In opposition, Alorica contends the court should Fortinet’s request to amend because Fortinet failed to provide any evidence of inadvertence. (Opp., pp. 2:11 – 3:13.) Alorica argues that Code of Civil Procedure section 473, subdivision (a) – authority relied upon by Fortinet in support of request to amend – only applies to the amendment of pleadings. Alorica points to *Ferry v. O’Brien* (1923) 63 Cal.App. 620, 626, stating: “[t]he facts set forth in the affidavit of respondent’s counsel and filed with his motion to strike out the first memorandum of costs and for permission to file a new memorandum of costs presented a case of inadvertence and mistake, entitling respondent to relief under section 473 of the Code of Civil Procedure.” Alorica also points out that the *Pac. Southwest Airlines* decision pertains to a tardy verification, and that in this case, Fortinet did not assert a timely claim for e-discovery hosting. (See *Pac. Southwest Airlines, supra*, 144 Cal.App.3d at p. 495.)

Here, the court finds that allowing the amendment is appropriate because this is a case of inadvertence and because Alorica has made no showing of prejudice. The court finds no merit to Alorica’s contention that Code of Civil Procedure section 473, subdivision (a), only applies to the amendment of pleadings. By its own terms, the subdivision applies to “any pleading or proceeding.” As Fortinet argues in reply, its counsel provided a declaration stating that its original memorandum of costs “inadvertently omitted the category of costs incurred for hosting electronic documents,” and Alorica has provided no authority requiring more detail. Perhaps more importantly, Alorica has made no effort to argue or explain how it would be prejudiced by the proposed amendment. (See *Pollard v. Saxe & Yollas Dec. Co.* (1974) 12 Cal.3d 374, 381 [“In the absence of prejudice, the trial court has broad discretion in allowing relief on grounds of inadvertence from a failure to timely file a cost bill. [Citations.]”].)

C. Conclusion

Fortinet’s motion to amend its memorandum of costs is GRANTED.

III. Alorica's Motion to Strike or Tax Costs

Alorica moves to strike or tax costs requested by Fortinet in its memorandum of costs. (Alorica's Mot. p. 1:2-6.) More specifically, Alorica requests that the court strike or tax costs relating to item 4 ("deposition costs"), item 5 ("service of process"), item 12 ("models, enlargements, and photocopies of exhibits"), and item 16 ("other"). (*Id.* at pp. 2:14-3:9.) Alorica contends that Fortinet is not the prevailing party, that certain costs requested are not authorized by statute, that certain costs requested were unreasonable or unnecessary, and that certain costs are not demonstrated to have been actually incurred in connections with the defense of this litigation. (*Id.* at p. 1:6-13.) Fortinet opposes the motion, contesting each of these points.

A. Legal Standard

"Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." (Code Civ. Proc., § 1032, subd. (b).) Items explicitly allowed as costs are set forth in Code of Civil Procedure section 1033.5, subdivision (a).¹ Items expressly disallowed as costs are set forth in section 1033.5, subdivision (b). Other costs may be allowed or denied in the court's discretion. (§ 1033.5, subd. (c)(4).) "Any award of costs shall be subject to the following: [¶] (1) Costs are allowable if incurred, whether or not paid. [¶] (2) Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. [¶] (3) Allowable costs shall be reasonable in amount." (§ 1033.5, subd. (c)(1)–(3).)

As its initial burden, the party seeking costs need only submit a memorandum of costs with a statement by the attorney verifying that the costs claimed are correct and were necessarily incurred in the case. (*Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1267 (*Jones*).) "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on

¹ Unless otherwise indicated, all further statutory references are to this section.

the party claiming them as costs.” (*Ladas v. California State Auto. Assn.* (1993) 19 Cal. App. 4th 761, 774 (*Ladas*).)

B. Discussion

Fortinet seeks five categories of costs: (1) \$21,761.71 in filing and motion fees; (2) \$404,119.01 in deposition costs; (3) \$42,574.52 for service of process; (4) \$267,802.54 for models, enlargements, and photocopies of exhibits; (5) and \$485,173.00 fees for hosting electronic documents, for a total of \$1,662,896.84 in requested costs. All of these categories of costs are generally recoverable under section 1033.5. Alorica argues that Fortinet is not entitled to costs as the prevailing party, and that even if it were, Fortinet is seeking costs far outside the bounds of what is recoverable under the pertinent authority.

1. Entitlement to Costs

Alorica initially argues Fortinet is not entitled to prevailing party cost shifting. (Alorica’s Mot., pp. 6:13-7:1.) Alorica asserts that it filed three claims, that Fortinet filed eight adjudicated cross-claims, and that Alorica is the prevailing party in this matter as to at least eight claims. Alorica argues that Code of Civil Procedure section 1032, subdivision (a)(4) applies such that “the court, in its discretion, may allow costs or not and, if allowed, may apportion costs between the parties on the same or adverse sides.” According to Alorica, Fortinet asserted numerous cross-claims that were not compulsory. Alorica contends Fortinet’s failed cross-claims resulted in significant costs, and that at a minimum, the court should find that there is no prevailing party.

In opposition, Fortinet asserts it is the prevailing party under Code of Civil Procedure section 1032. (See Fortinet’s Opposition to Alorica’s Motion to Tax Costs and Strike Memorandum of Costs (“Fortinet’s Opp.”), pp. 5:24-7:17.) According to Fortinet, the court left no ambiguity as to its status as prevailing party when it stated: “Alorica shall take nothing on the Second Amended Complaint against Fortinet.” (See Judgement After Partial Directed Verdict and Jury Trial, filed Nov. 15, 2024, p. 3:2-3.) Fortinet contends that the outcome of its cross-complaint does not change the analysis, relying upon *Bldg. Maint. Serv. Co. v. Ail Sys.* (1997) 55 Cal.App.4th 1014, 1025 for the proposition that “[a] defendant who defeats the

plaintiff's claim on a complaint, but who recovers nothing on his cross-complaint against the plaintiff, is nevertheless a prevailing party entitled to costs."

Fortinet asserts that it is the prevailing party under Code of Civil Procedure section 1032, subdivision (a)(4), because it is "a defendant where neither plaintiff nor defendant obtains any relief," as well as "a defendant as against those plaintiffs who do not recover any relief against that defendant." According to Fortinet, both parties cannot be deemed prevailing parties, and Alorica's requested approach would lead to an illogical result penalizing defendant for asserting compulsory cross-claims. In reply, Alorica maintains that Fortinet is not the prevailing party because only some of Fortinet's cross-claims related to Alorica's purchase of products while Fortinet's other cross-claims are outside the "traditional realm" of compulsory cross claims. (See Reply, pp. 3:2-4:5.) Alorica argues Fortinet has provided no basis for a determination that it is the prevailing party because Alorica prevailed on far more claims.

In this case, the court finds that Fortinet is entitled to recover costs as the prevailing party. Fortinet is a "a defendant where neither plaintiff nor defendant obtains any relief," as well as "a defendant as against those plaintiffs who do not recover any relief against that defendant." (See Code of Civil Procedure, section 1032, subdivision (a)(4).) To the extent that aspects of this situation are not specified by the statute due the cross-claims involved, the court nevertheless finds that Fortinet is the prevailing party because it obtained the greater relief.

2. Recoverable Costs

Alorica challenges four categories of costs as follows: (1) \$8,196.18 in deposition costs; (2) \$42,574.52 for service of process; (3) \$120,475.62 for models, enlargements, and photocopies of exhibits; (4) and \$430,969.38 in costs for attorney meals and lodging. (Alorica's Mot., pp. 1-3.)

i. Deposition Costs

Alorica challenges \$8,196.18 of the \$404,119.01 that Fortinet seeks in deposition costs. (Alorica's Mot., p. 7:13-25.) First, Alorica contends that \$7,228.72 of this amount is not recoverable because it relates to an attempted deposition in Mexico of Jonathan Merrell that did not ultimately take place. However, as Fortinet argues in reply and as this court has addressed in a prior sanctions motion on this very subject, Fortinet's initial attempt to depose

Mr. Merrell was unsuccessful in no small part because Alorica's counsel refused to stipulate to the deposition even after counsel for both Alorica and Fortinet had already traveled to Mexico. (See Order Re: Motions Sanctions; Motion to Quash; Motions to Seal, filed on July 8, 2024.) Accordingly, the court finds Alorica's argument concerning the costs of Mr. Merrell's deposition to be without merit.

Alorica also challenges \$967.46 in costs for an airline ticket for Fortinet witness Alastair Wade's trial travel. As Fortinet concedes on reply, this amount is not recoverable as a deposition expense, and it is therefore taxed.

ii. Service of Process

Alorica challenges the entire amount of \$42,574.52 that Fortinet seeks for service of process. (Alorica's Mot., p. 8:1-26.) Alorica argues that the amount requested for service of process should be stricken in its entirety because the statute only authorizes costs for service of summons, not all case documents, and because Fortinet does not sufficiently explain support the amounts requested. Fortinet argues that it is entitled to recover the service costs because e-filing and e-service are mandatory in Santa Clara County Superior Court and because Alorica's own tactics increased Fortinet's service-related costs. (Fortinet's Opposition, pp. 10:8-11:6.) Fortinet relies upon *Lowry v. Port San Luis Harbor Dist.* (2020) 56 Cal.App.5th 211, 222 (*Lowry*), in arguing that the appellate courts have applied subdivision (a)(4) of section 1033.5 to permit the recovery of service for subpoenas.

Here, Alorica has not provided authority in support of its contention that only costs for service of summons are properly recoverable. Furthermore, Alorica has not persuaded the court the requested amount for service of process is unreasonable or unnecessary.

The motion to tax is denied as to this category.

iii. Models, Enlargements, and Photocopies of Exhibits

Alorica challenges \$120,475.62 of the \$267,802.54 that Fortinet seeks for models, enlargements, and photocopies of exhibits. (Alorica's Mot., pp. 9:1-10:6.) Alorica contends that expenses for witness binders and deposition transcripts should be stricken or taxed because

there is no statutory basis for such costs and they are unnecessary. Alorica further argues that Fortinet seeks \$99,025.86 in pre-trial graphics expenses that are expressly disallowed under section 1033.5, subdivision (b)(2). In opposition, Fortinet persuasively argues that the challenged expenses were all reasonably necessary to the conduct of the litigation. Furthermore, the court is not persuaded that section 1033.5, subdivision (b)(2) bars the expenses in question because they are more in the nature of technology approved by the court rather than “[i]nvestigation expenses in preparing the case for trial.”

Accordingly, the motion to tax is denied as to this category.

iv. Other

Alorica challenges \$430,969.38 of the \$441,466.06 that Fortinet seeks in item 16 (“Other”), which represents the entire amount sought for attorney meals and lodging. (Alorica’s Mot., p. 10:7-23.) Alorica points to the *Ladas* decision, stating that meal expenses for attorneys cannot be “justified as ‘necessary to the conduct of the litigation’ since attorneys have to eat, whether they are conducting litigation or not.” (*Ladas*, 19 Cal.App.4th 761, 774-775.) In opposition, Fortinet contends that the requested lodging and meal expenses are recoverable because they were reasonably necessary for trial. (Fortinet’s Opp., pp. 14:23-15:21.) In reply, Alorica contends the hotel charge of \$372,154.95 is unreasonable because it includes expenses for some attorneys observing the trial for training purposes and because it includes “improper charges.”

Here, the court agrees with Alorica that meal expenses are not justified, but it finds that the lodging expenses are reasonably necessary to the litigation given the length and intensity of the four-week jury trial. Accordingly, the court finds the \$372,154.95 amount for lodging is recoverable, and the remaining amount in this category (\$69,311.11) is not.

C. Conclusion

Alorica’s motion to strike and/or tax Fortinet’s memorandum of costs is GRANTED IN PART as to the following claimed costs: \$967.46 in deposition costs and \$69,311.11 in other

expenses. The motion is otherwise DENIED, and Fortinet shall recover the remaining amount of \$1,592,618.27.

IV. Fortinet's Motion to Strike or Tax Costs

Fortinet moves to strike or tax the memorandum of costs filed by Alorica on the grounds that Alorica was not the prevailing party as defined by Code of Civil Procedure section 1032, or alternatively, that the claimed costs are unrecoverable, unreasonable, or unnecessary. (See Notice of Motion and Motion, p. 2.) Alorica opposes the motion, contesting each of these of points.

A. Legal Standard

“Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding.” (Code Civ. Proc., § 1032, subd. (b).) Items explicitly allowed as costs are set forth in Code of Civil Procedure section 1033.5, subdivision (a). Items expressly disallowed as costs are set forth in section 1033.5, subdivision (b). Other costs may be allowed or denied in the court’s discretion. (§ 1033.5, subd. (c)(4).) “Any award of costs shall be subject to the following: [¶] (1) Costs are allowable if incurred, whether or not paid. [¶] (2) Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. [¶] (3) Allowable costs shall be reasonable in amount.” (§ 1033.5, subd. (c)(1)–(3).)

As its initial burden, the party seeking costs need only submit a memorandum of costs with a statement by the attorney verifying that the costs claimed are correct and were necessarily incurred in the case. (*Jones, supra*, 63 Cal.App.4th at p. 1267.) “If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs.” (*Ladas, supra*, 19 Cal. App. 4th at p. 774.)

B. Discussion

Fortinet contends that Alorica cannot recover any incurred as part of this litigation because Fortinet, not Alorica, is the prevailing party under Code of Civil Procedure section 1032. (See Fortinet’s Memorandum of Points and Authorities in Support Motion to Strike or Tax Alorica Inc’s Memorandum of Costs, pp. 2:18-4:1.) Fortinet further contends that Alorica’s costs should be taxed to the extent that its memorandum is not completely stricken. (*Id.* at pp. 4:2-8:16.) Alorica counters that it, not Fortinet, is the prevailing party. (See Opp., pp. 2:3-4:20.) Alorica further argues Fortinet has not carried its burden in challenging the claimed costs. (*Id.* at pp. 3:21-5:4.)

Here, the parties generally reiterate the same arguments regarding the prevailing party determination in this case that they respectively raised in the context of Alorica’s motion to strike or tax Fortinet’s memorandum of costs. As discussed previously in section III(B), the court finds that Fortinet is the prevailing party in this case. Accordingly, the court finds that Alorica is not the prevailing party in this case and is not entitled to recover costs a matter of right under Code of Civil Procedure section 1032, subdivision (b). Therefore, the court finds that Alorica cannot recover any costs incurred as part of this litigation. Having so found, the court declines to address Fortinet’s additional arguments that specific categories of Alorica’s costs should be taxed.

C. Conclusion

Fortinet’s motion to strike Alorica’s memorandum of costs in its entirety is GRANTED.

V. Fortinet’s Motion for Attorney Fees

Fortinet moves this court for an order requiring Alorica to pay Fortinet \$20,216,575.23 in attorneys’ fees as the prevailing party in this action. (See Notice of Motion and Motion, p. 1.) Fortinet contends it is entitled to reasonable attorneys’ fees pursuant to the Sales Order Acknowledgement agreement between the parties as well as sections 1021 and 1717 of the California Civil Code. (See Fortinet’s Memorandum of Points and Authorities in Support of Motion for Attorneys’ Fees (“Fortinet’s MPA”), p. 4:2-14.)

Alorica opposes, arguing that Fortinet is not entitled to recover attorney fees because its complaint mentions only the End User License Agreement which does not contain an attorneys' fees clause, and Fortinet's cross-complaint does not mention or allege any other contract between the parties. (See Alorica's Opposition to Fortinet, Inc.'s Motion for Attorneys' Fees ("Alorica's Opp."), p. 5:2-11.) Alorica argues that the Sales Order Acknowledgement agreement relied upon by Fortinet was not at issue in this action. (*Id.* at p. 5:12-20.) Alorica further argues that Fortinet is not the prevailing party and that, even if it was, its request for over \$20 million in attorneys' fees is unreasonable. (*Id.* at pp. 5:21-6:11.)

A. Legal Standard

"Under the American rule, each party to a lawsuit ordinarily pays its own attorney fees. [Citations.]" (*Mountain Air Enterprises, LLC v. Sundowner Towers, LLC* (2017) 3 Cal.5th 744, 751 (*Mountain Air Enterprises*)). Code of Civil Procedure section 1021 codifies this rule and permits parties to "contract out" of the American rule by executing an agreement that allocates attorney fees. (*Ibid.*, see also *Trope v. Katz* (1995) 11 Cal.4th 274, 279.) Thus, parties may "validly agree that the prevailing party will be awarded attorney fees incurred in any litigation between themselves, whether such litigation sounds in tort or in contract." (*Mountain Air Enterprises, supra*, 3 Cal.5th at p. 751.) "If such litigation does sound in contract, however, an agreement allocating attorney fees may be within the scope of Civil Code section 1717 and subject to its restrictions." (*Id.* at p. 752, internal punctuation and citations omitted.)

Civil Code section 1717, subdivision (a) provides in pertinent part,

In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs. ... [¶] Reasonable attorney's fees shall be fixed by the court, and shall be an element of the costs of suit.

In *Khan v. Shim* (2016) 7 Cal.App.5th 49, 56 (*Khan*), the appellate court explained that section 1717 "was enacted to ban unfair one-sided fee provisions [and] has been expanded over time to cover reciprocal fee agreements as well and to ban the award of attorney fees to certain claims if the complaining party files a voluntary dismissal before trial."

An action is generally considered to be “on a contract” for purposes of section 1717 if:

(1) the action (or cause of action) “involves” an agreement, in the sense that the action (or cause of action) arises out of, is based upon, or relates to an agreement by seeking to define or interpret its terms or to determine or enforce a party’s rights or duties under the agreement, and (2) the agreement contains an attorney fees clause.

(*Khan, supra*, 7 Cal.App.5th at p. 57, fn. 6; quoting (*Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc.* (2012) 211 Cal.App.4th 230, 241–242.)

Code of Civil Procedure section 1032, subdivision (a)(4), defines the term “prevailing party” to include “the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant.” A defendant against whom the plaintiff does not recover is a prevailing defendant. (*Santisas v. Goodin* (1998) 17 Cal.4th 599, 606.)

B. Discussion

In support of its motion for attorneys’ fees, Fortinet contends it is the prevailing party, it is entitled to recover under the parties’ Sales Order Acknowledgement agreement, and that its request for roughly \$20 million in attorneys’ fees is reasonable. (Fortinet’s MPA, pp. 6:3-14:11.)

While the court finds that Fortinet is the prevailing party and that it is entitled to recover attorneys’ fees pursuant to the parties’ SOA agreement, it further finds that the amount requested is excessive. The court finds some merit to Alorica’s contention that Fortinet’s fee request includes substantial overlap in billing due to Fortinet’s decision to hire a separate law firm fairly late in the history of this litigation. Fortinet argues that Alorica has not identified any specific billing entries that it contends constitute “get up to speed” billing. (See Reply, p. 12:21-26.) Fortinet acknowledges that there was some amount of potentially duplicative work, explaining that it removed what it identified as potentially duplicative billing and that the law firms each applied percentage discounts on all fees. (*Ibid.*; see also Fortinet’s MPA, pp. 10:21-14:11.) Fortinet states that it applied a 30 percent discount to the lodestar amount of \$28,880,821.75 to account for any potential duplication of efforts or inefficiencies, thereby

arriving at its requested amount of \$20,216,575.23. (Fortinet's MPA, p. 14:5-9.) In the court's view, a 50 percent deduction is more appropriate in this case due to the time and duplication of effort required to bring the KVP firm in as lead trial counsel in 2024.

Accordingly, for the reasons set forth above, the court GRANTS Fortinet's motion for attorneys' fees in the reduced amount of \$14,440,410.90.

V. Conclusion

Fortinet's motion to amend its memorandum of costs is GRANTED.

Alorica's motion to strike and/or tax Fortinet's memorandum of costs is GRANTED IN PART as to the following claimed costs: \$967.46 in deposition costs and \$69,311.11 in other expenses. The motion is otherwise DENIED, and Fortinet shall recover the remaining amount of \$1,592,618.27.

Fortinet's motion to strike Alorica's memorandum of costs in its entirety is GRANTED.

The court GRANTS Fortinet's motion for attorneys' fees in the reduced amount of \$14,440,410.90.

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Case Name: *Satoshi Kobayashi v. Dfinity USA Research LLC et. al*
Case No.: 23CV415981

Plaintiff Satoshi Kobayashi (“Kobayashi”) filed this action against Defendants Dfinity USA Research LLC (“Dfinity”) and Dominic Williams (“Williams”) (together, “Defendants”) based on Williams’s alleged tortious interference with Kobayashi’s rights concerning his investment in a blockchain project known as the Internet Computer Protocol (“ICP” or “ICP Network”). Kobayashi now moves to stay proceedings pending the outcome of Kobayashi’s appeal of the court’s October 3, 2024 order granting Williams’s motion to quash for lack of personal jurisdiction. (See Notice of Entry of Order Granting Specially Appearing Defendant Dominic William’s Motion to Quash (“Motion to Quash Order”), signed Oct. 3, 2024.) Also before the court are several pending motions to seal.

I. BACKGROUND

According to the allegations of the complaint, Williams promoted the ICP from 2016 until its launch on May 10, 3 2021, and he solicited investments globally. (Complaint, ¶ 2.) Williams served not as only the principal promoter of ICP, but also (1) the CEO of Dfinity, the Palo Alto-based company principally responsible for the operations of ICP and (2) the “Chief Scientist” of the Dfinity Foundation (the “Foundation”), a Swiss nonprofit entity with substantial operations in Palo Alto that has certain administrative responsibilities related to ICP. (*Ibid.*) In 2017, Kobayashi invested 15,000 Ethereum tokens (currently worth over \$25 million) in ICP. (*Id.* at ¶ 3.) Under the terms of his investment, he was entitled to: (1) his pro rata share of ICP tokens (“Tokens”) to be allocated under a formula that would see early investors receive 78% of the total available Tokens when ICP launched; (2) governance of ICP by a decentralized voting process; and (3) receipt of Tokens that would be freely tradeable upon ICP launch, which turned out to be May 21, 2021. (*Ibid.*)